# TENTH PARLIAMENT - FIRST SESSION

## REPORT OF THE PORTFOLIO COMMITTEE ON PUBLIC SERVICE, LABOUR AND SOCIAL WELFARE

## ON

## NSSA PENSIONERS ADVOCACY ZIMBABWE'S PETITION ON THE MEAGRE NSSA PENSION PAY-OUTS

**S.C. 16, 2024**

***Presented to Parliament in November 2024***

## 1.0 Introduction

1.1 According to Section 149 of the Constitution, read together with Standing Order No. 191 and Appendix E, every citizen and permanent resident of Zimbabwe has a right to petition Parliament to consider any matter within its authority, including the enactment, amendment or repeal of legislation.

1.2 On 4 April 2024, the Speaker of Parliament informed the House that Parliament had received a petition from NSSA Pensioners Advocacy Zimbabwe requesting Parliament to look into the plight of pensioners in view of meagre payouts. The petition was referred to the Portfolio Committee on Public Service, Labour and Social Welfare. The Committee conducted an enquiry into the issues and came up with this report with recommendations.

## 2.0 Petitioners' Prayer

2.1 The NSSA Pensioners Advocacy Zimbabwe beseeched Parliament to exercise its oversight and investigate and rectify the following:

2.2 Pronounced suffering of NSSA Pensioners due to meagre pension pay-out.

2.3 Failure to access reasonable health services by pensioners and their legal dependents.

3.4 Failure to get decent accommodation.

2.5 Abuse of the pension fund by NSSA fund's administration and State's slow response in bringing the culprits to book.

## 3.0 Methodology

3.1 The Committee invited the Ministry of Public Service, Labour and Social Welfare, National Social Security Authority (NSSA) and NSSA Pensioners Advocacy Zimbabwe petitioners to a meeting to discuss the issues raised in the petition on 8 July, 2024.

## 4.0 Committee's Findings

### 4.1 Monthly pay-outs

The petitioners informed the Committee that the monthly pay-outs from NSSA were inadequate resulting in many challenges such as lack of funds to cater for food, shelter, medication, and utility bills. They were concerned that even the current employees who

were contributing towards NSSA pension scheme would face the same problem when they retire unless some changes are implemented.

The petitioners submitted that the monthly pay-outs of $20 from NSSA were their only source of income and was insufficient to sustain them and their dependents. As a result, most pensioners were living below the poverty datum line. They argued that they had contributed much but only to get this little in return. They pointed out that NSSA was violating Sections 75 and Section 76 of the Constitution of Zimbabwe by denying them and their dependents the right to education and the right to health care respectively due to the meagre pay-outs. They felt that NSSA had the ability to make profits from its investments yet there were no efforts to improve the welfare of pensioners.

Dr Shava, the General Manager of NSSA explained that the National Social Security Act, [Chapter 17:04] of 1989 established the Pension and Other Benefits Scheme (POSB). The Act is administered in terms of Statutory Instrument 393 of 1993 that regulates and governs the administration and management of pensions and social security in the country and is based on 50/50 contributions by employers and employees. However, there were concerns and challenges related to the implementation and effectiveness of this scheme due to lower contribution rate in comparison to private pension schemes because the pension scheme is subject to an insurable earning ceiling. He further explained that there was a misconception by the general public that the POBS was the main national pension scheme. The POBS scheme was designed to complement occupational and private pension schemes and not meant to be the only source of income as alluded in the petition.

Dr Shava explained that the POBS was a social welfare pension scheme with a lower contribution rate of 9% (4.5% from the employer and 4.5 % from the worker) based on a cap of US$700 compared to the average deduction for private pension schemes of 20%. Despite the this, Dr explained that NSSA offered higher pension benefits compared to private schemes. He explained that NSSA's minimum retirement pension sometimes goes up to US$50, funds permitting compared to the private schemes which pays US$40.

Mr Masanga, the Permanent Secretary for the Ministry of Public Service, Labour and Social Welfare indicated that there were many occupational pension fund houses though some had closed. He informed the Committee that in good times, NSSA would increase its pay-outs and at one time, it was paying a minimum pension equivalent to US$100 but due to changes in the economic environment that figure went down to around US$20 to US$30. He added that the pay-outs were slowly increasing to around US$40 to US$50 a month.

### 4.2 Regular upward review of NSSA pension pay-outs

The pensioners proposed that monthly pay-outs should be reviewed regularly and be aligned to the cost of living. Dr Shava explained that from September 2023 to March 2024, monthly pension increases were implemented as per the table below.

| 4 | Sept 2023 ZWL | Oct 23 ZWL | Nov 23 ZWL | Dec23 ZWL | Jan 24 ZWL | Feb 24 ZWL | March 24 ZWL | April24 ZiG | May 24 ZIG | June 24 ZiG |
|---|---|---|---|---|---|---|---|---|---|---|
| **Minimum Pension ZWL** | 160,395.00 | 200,617.09 | 227,751.35 | 230,228.37 | 236,135.59 | 449,996.51 | 626,908.14 | 376.34 | 376.34 | 376.34 |
| **Min Pension in USD @ Official Rate** | 34.81 | 40 | 39.82 | 40.00 | 40.00 | 50.00 | 40.00 | 50.00 | 45.00 | 50.00 |
| **Pension Increase** | | 25.08% | 13.53% | 1.09% | 2.57% | 90.57% | 39.31% | | | |

Dr Shava explained that it was not possible for pension pay-outs to relate to cost of living and family breadbasket. However, NSSA considered the cost of living in pension reviews but cannot match pension pay-outs to the family breadbasket level due to POBS's design as a supplementary scheme. Dr Shava said significant reforms, including adjusting the contribution rate and insurable earning ceiling, were necessary for this alignment.

### 4.3 NSSA Investments

In terms of the call by petitioners for NSSA to invest their contributions widely and share dividends, it was explained that POBS operated on a pay-as-you-go basis. The contributions collected sustain pension pay-outs, with surpluses invested to grow the fund for future liabilities and sustainability.

**4.4 NSSA Clinics**

Dr Shava explained that the petitioners' request for NSSA to set up clinics nationwide was not possible because funding for clinics initially came from NSSA's corporate social responsibility budget but proved unsustainable. However, NSSA will continue to provide medical services through mobile clinics as part of its corporate social responsibility.

4.5 **Stakeholders Consultations**

The petitioners suggested that NSSA should undertake consultations with stakeholders to gather their views on pension pay-outs and the challenges faced by pensioners. It was stated that NSSA held regular engagement meetings with pensioners and other stakeholders through the National Pensioners Association and liaison officers.

5.0 **Committee's Observations**

The Committee observed that:

5.1 The pensioners' dissatisfaction with the meagre pay-outs they receive was justified considering that the amount was grossly inadequate to cater for basic needs. However, the problem should be solved by amending the National Social Security Authority Act by removing contributions ceiling and allow the Authority to deduct a reasonable contribution amount which will result in reasonable pay-outs. This shortfall in funding was impacting negatively on the ability of the Authority to provide adequate benefits to pensioners.

5.2 The Committee noted that as of October 2023, NSSA's pay-outs were US$40, which was comparable to what private pension houses were paying their pensioners. Given that NSSA has a contribution rate of 9%, compared to the 20% rate of private pension schemes, NSSA pay-outs were therefore reasonable.

5.3 Pensioners were unaware that the NSSA pension scheme was not intended to be their sole source of income, but rather a social protection scheme. However, the Committee noted that for a pensioner expecting to benefit from their contributions, the explanation that the NSSA pension was not the main pension does little to improve the situation. The solution lies in empowering NSSA to increase its contribution collections from pensioners thereby enabling the Authority to review and raise the pay-outs.

6.0 **Committee's Recommendations**

The Committee, therefore, recommends that:

6.1 The Ministry of Public Service, Labour and Social Welfare should initiate the process of amending the NSSA Act to raise the ceiling for deductions, thus allowing NSSA to collect higher contributions, which will result in increased pay-outs, by June 2025.

6.2 The Treasury should financially support social welfare programs such as the Assisted Medical Treatment Order (AMTO) and the Basic Education Assistance Module (BEAM) by allocating adequate funds in the 2025 financial year. These programs will significantly assist pensioners and other vulnerable groups in society.

6.3 NSSA, the Ministry of Public Service, Labour and Social Welfare, and the Ministry of Finance, Economic Development and Investment Promotion should undertake educational awareness programs on social protection and insurance schemes, including the NSSA pension scheme and occupational insurance schemes, by June 2025.

6.4 The Ministry of Finance, Economic Development and Investment Promotion should continuously monitor and regulate the operations and conduct of all pension houses to ensure regular and meaningful pay-outs upon retirement**.**

## 7.0 Conclusion

7.1 The dissatisfaction of pensioners with the pay-outs and the insufficient contributions collected by the National Social Security Authority are key issues that need to be addressed by making the necessary amendments to the NSSA Act. Moreover, there is a need for improved communication and awareness about the role of the NSSA pension scheme in complementing other occupation pension schemes. Addressing these challenges is crucial to ensure the effectiveness and success of the Pension and Other Benefits Schemes under the Act.